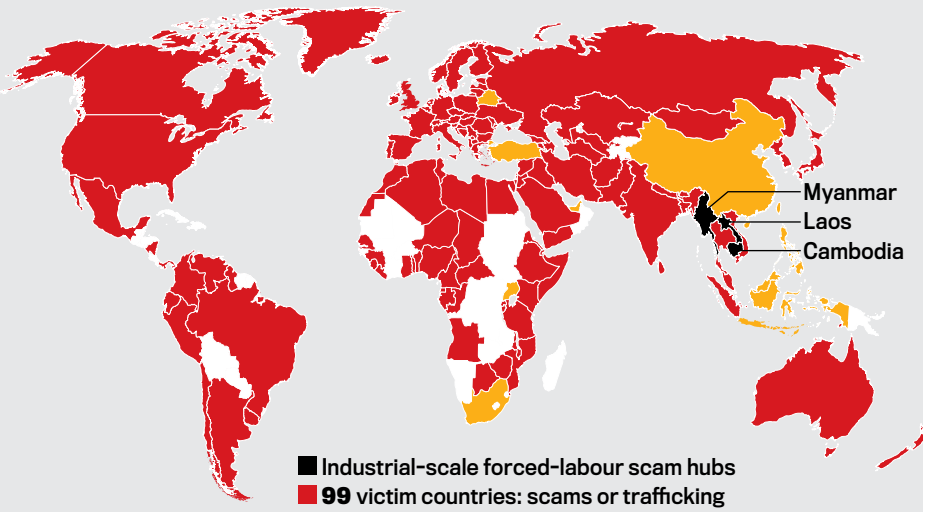
A GLOBAL CRISIS

Southeast Asian countries have become the hub from where financial frauds are perpetrated across the world



■ Industrial-scale forced-labour scam hubs
■ **99** victim countries: scams or trafficking
■ **16** victim countries: financial hubs or transit countries

Source: USIP Report, May 2024
(Transnational Crime in Southeast Asia)

WHAT THE GOVERNMENT IS DOING

Swift action, persistence and, often, sheer luck, can perhaps help you get back some of the money. Retired IGP Vikas, who transferred over Rs 2.16 crore to what he thought were government accounts, got back Rs 1.7 crore thanks to swift police action and coordination with banks, but the remaining Rs 40 lakh is still untraceable. Most find it difficult to recover any money: the maze of interlinked domestic and foreign accounts defy easy pursuit. That's not counting the super-elusive transfers to cryptocurrency accounts.

The Government of India has recently intensified its efforts to combat this growing menace. The home ministry established a committee this October to coordinate investigations across states. Home minister Amit Shah has announced the establishment of a National Cyber Forensic Laboratory under I4C, which has trained over 1,100 officers in cyber forensics. Plans are underway to extend this initiative to district and tehsil levels. In addition, joint cyber coordination teams have been set up in hubs such as Jamtara, Mewat, Hyderabad and Ahmedabad, while an elite unit of 5,000 cyber commandos is being developed in collaboration with top educational institutions. The Cyber Fraud Mitigation Centre (CFMC) has also been unveiled, fostering collaboration among banks, telecom providers, IT firms and law enforcement. The I4C has issued more than 600 advisories, blocked fraudulent websites and accounts, and collaborated with Microsoft to take down over 1,000 Skype IDs linked to 'digital arrest' scams. Public advisories emphasise that law enforcement agencies, including the CBI, ED or Customs, do not conduct arrests via video calls. Citizens are urged to report scams to the cybercrime helpline 1930 or through the official portal (www.cybercrime.gov.in).

To curb the menace, the govt must enforce robust cybersecurity laws, enhance cross-border collaboration and tighten identity data protection

However, experts believe these measures are insufficient. The lack of a cohesive cybersecurity legislation, combined with limited resources for cross-border investigations, means even the most comprehensive local efforts come up short in international scams. A significant enabler of these scams is the misuse of Aadhaar, India's unique identification number system. To counter this, cybersecurity experts are advocating stricter guidelines for the use of Aadhaar outside essential government services. Limiting Aadhaar's exposure to private entities, combined with stronger penalties for misuse, could prevent such identity-based scams. The government must also enforce robust cybersecurity laws, enhance cross-border collaboration and tighten identity data protection, while citizens must cultivate digital literacy and be vigilant enough not to get caught in the elaborate and ever-evolving web of deceit.

Indian officials, however, assert that it's not so much any loopholes in banking technology or cybersecurity as the psychological manipulation of the victims that scammers rely on. "There are checks and balances, like transfer limits set up by banks, OTPs and even automated and manual callbacks to account-holders when a relatively large sum of money is transferred. But what do you do when the victim voluntarily transfers the money?" asks Dakshita Das, former additional secretary in the department of financial services under the finance ministry. Policymakers as well as bank and enforcement officials concur that two simple steps can stop such con games—awareness and disengagement. Most banks have issued advisories to customers regarding cyber scams. "This scam will not happen if you just hang up the phone. The more you engage, the more susceptible you become," says Das. Follow this advice and you could save yourself trauma and your money. ■

–Rohit Parihar, Kaushik Deka, Amarnath K. Menon, Pradip R. Sagar, Rahul Noronha, Jumana Shah and Avishek G. Dastidar